

according to Value Research (as on February 10). With no increase in the investment limit by the Reserve Bank of India (RBI), recently Edelweiss Mutual Fund and Kotak Mutual Fund have decided to temporarily suspend subscriptions to their seven and one international-focussed MFs, respectively.

So, a good question to ask now is this: is it a good time to invest when international markets have started looking attractive again? Take for instance, the S&P 500 Index, currently trading at a price to earnings (P/E) ratio of 19.72x compared to 25.96x a year ago, and 40x two years ago. Individual stocks such as Alphabet, Tesla and Meta have also fallen sharply by 25 per cent, 43 per cent and 50 per cent, respectively, over the period of one year (as of January 30, 2023).

Experts say this provides an opportunity to buy international stocks at lower prices as their fundamentals still remain strong. Moreover, overseas investing ensures that investors don't put all their eggs in one basket, and provides their portfolios with the much-needed geographical diversification, especially when India accounts for just 3 per cent of the world's market cap.

"Investing internationally works well because of diversification. Investors gain by having some of their portfolios outside their country as international markets or the US markets move in very different directions compared to Indian markets. And that provides a lot of flexibility to a portfolio," said Pratik Oswal, Head of Passive Funds at Motilal Oswal Asset Management Company (AMC) at BT's Market Today Summit recently. He added that the fact that Indian markets were resilient last year and the US markets weren't, showed that diversification

In Recovery Mode

Foreign markets have recovered in the past three months



"does play out really well". While the Nasdaq fell by 33 per cent in 2022, the Nifty 50 gave a return of 5 per cent.

An important point to keep in mind is the proposal made by Finance Minister Nirmala Sitharaman in Budget 2023-24. Per the proposal, from July 1, 2023 onwards, if you convert the rupee to any other currency for investments abroad, then 20 per cent of the amount will have to be set aside as tax collected at source (TCS). Currently, TCS of 5 per cent is levied on foreign outward remittances above ₹7 lakh.

ATTRACTIVE VALUATIONS

So, should investors cash in on the cheap valuations? "Last year wasn't easy for tech stocks. Do these themes still make sense? I think they do," says Radhika Gupta, MD & CEO of Edelweiss Asset Management. "When we sold international investing, we had been proponents of this in 2016-2018. One of the things we said was that this belief was nonsense that just because Nasdaq made money for every year last decade, it will never lose money. Second, diver-

sification means that there will be years when India does well and these countries do badly, and you can't get hyper about it. You just need to find the right asset allocation," she adds.

Experts believe that while sailing in overseas waters, it is essential to differentiate between mature tech and new-age tech firms. "During Covid-19, we saw a lot of these companies go up, obviously because interest rates were too low and, hence, funding was easy. But on the other side were the mature tech firms such as Google, Facebook, Microsoft; they do have fundamentals, are profitable, and they are growing well. And if you see over the past 20 years or so, a 20-30 per cent fall in tech stocks is not uncommon. So, I would differentiate between the two; I'm not too confident about the new-age tech firms, but I'm very confident about the mature tech space," said Neil Parag Parikh, Chairman and CEO of PPFAS AMC at the Market Today Summit. He added that the mature tech space is stable, and it provides a good entry point for international investing.

So, should one invest in international MFs now? "There is no fur-